

TABLE 1.1 Performance comparison

Name	Annualised compound return (%)	Max DD (%)	Correlation to MSCI World	Annualised volatility	Starting date
MSCI World TR	8.1	−54.6		15.1	31 January 1988
Chesapeake Classic	10.1	−31.6	0.17	18.9	1 February 1988
Dunn World Monetary and Agriculture	12.9	−57.9	−0.09	32.1	1 November 1984
Eckhardt Evolution	10.9	−27.1	0.02	18.1	1 August 1991
EMC Classic	17.4	−45.4	−0.11	42.7	1 January 1985
Estlander Alpha	7.9	−29.7	0.04	13.6	1 October 1991
Fort Global Diversified	10.0	−17.5	−0.07	15.8	1 March 2002
ISAM Systematic Trend	11.2	−37.8	−0.20	18.2	1 June 2001
Mulvaney Global Markets	12.5	−45.1	−0.12	33.1	1 May 1999
Tactical Institutional	16.3	−41.5	−0.05	23.3	1 April 1993
Transtrend Enhanced	11.3	−15.7	0.01	13.7	1 January 1995

equity markets are going up or down since it makes little difference to your returns. It does not mean that all years are positive for diversified futures strategies, only that the timing of the positive and negative returns is, over time, unrelated to those of the equity market. The observant reader might be asking if that does not make these strategies a very good complement to an equity portfolio, and the answer is that it absolutely does, but we are getting ahead of ourselves here.

■ Criticism of Trend-Following Strategies

Although certain criticisms of trend-following trading have some validity, there are other commonly recurring arguments that may be a little less thought through. One somewhat valid criticism is that there is a survival bias in the numbers reported by the industry. The argument is that the funds that